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Yale Program on Financial Stability

Lessons Learned

Luis Jácome

By Mercedes Cardona

Luis Jácome was appointed president of the board of Ecuador's central bank in 1998 by newly elected President Jamil Mahuad. He and other members of the board resigned in 1999 in protest against a number of crisis-intervention measures they saw as threatening the bank's independence to set monetary policy.

Since the 1970s, Ecuador's economy had experienced a period of growth fueled by oil exports, but by the mid-1990s the economy was reeling from a series of shocks, among them: a sharp drop in the price of oil, the effects of severe flooding on the country's agricultural production, and the cost of waging a war with neighboring Peru. The shocks destabilized the country's banking system, leading to bank runs and spiraling depreciation of the currency. Mahuad was deposed by a military coup in January 1999 and replaced by his vice president, Gustavo Noboa. Shortly after the coup, Ecuador replaced the Ecuadorian sucre with the US dollar, which helped to halt bank runs and restored some trust in the financial system. This "Lesson Learned" is based on two interviews with Jácome in March 2023; the full transcript may be found [here](#).

When liberalizing a financial system, authorities should design and build a strong prudential supervisory framework to help the financial system and economy withstand shocks.

By the end of the 20th century, Ecuador had undergone a liberalization of its financial system that did not include a parallel development of financial regulation to protect the integrity of its banking industry. Legislation passed in 1994, which had opened the door to market-driven interest rates and foreign exchange rates, led in the short term to lower rates. This was not a development exclusive to Ecuador, but one that affected many Latin American countries at the encouragement of international organizations.

This might have been the crucial mistake that left Ecuador vulnerable by the late 1990s, Jácome explained,

Unfortunately, while Ecuador opened its capital account and implemented financial liberalization, the new law did not put emphasis on strengthening financial regulation and supervision. Moreover, the law did not give the banking supervision agency and the government the legal support and the instruments required to handle banking crises. In fact, the spirit of the law was to allow free exit from the market without regard to the potential costs of financial contagion. This was a major mistake of the new legislation. The combination of financial liberalization, weak financial regulation and supervision, and the absence of legislation to handle banking crises was a lethal policy mix.

Starting in the mid-1990s, external shocks, including a sharp drop in the price of oil—the country's key export and source of trade revenue—armed conflict with neighboring Peru,

and floods caused by El Niño that decimated crops in the coastal regions, triggered a crisis that included ballooning inflation and budget deficits, and which led to the failure of multiple banks. However, when the banks began to fail, neither the Ecuadorian government nor the central bank had the authority to resolve insolvent banks. They could not hold auctions of assets and liabilities of insolvent banks to avoid closing them without paying depositors.

Political instability further contributed to the economic downturn, as three presidents served over a five-year period—and only one served his full term. Successive governments adopted a series of measures (such as declaring a bank holiday in March 1999) that not only failed but did not have the support of the newly independent central bank. Jácome explained that the bank had warned that the measures (including a transaction tax on all financial transactions and an unsustainable blanket deposit guarantee) would spur more Ecuadorians to draw their money from banks, which in turn would further devastate the banking system. Depositors also exchanged their withdrawn sucre deposits for dollars to protect themselves from inflation and instability, which put downward pressure on the sucre and increased inflation, thus feeding the vicious cycle.

In retrospect, it is clear to Jácome that the country's ambitious financial reforms should have been paired with sensible improvements to the nation's supervision and regulation structures.

Preventing such a systemic financial crisis and, therefore, the collapse of the economy in the late 1990s, would have required having a sound and resilient banking system and a more effective banking regulation and supervision. To support this claim, remember that the Peruvian economy was hit by the same shocks, namely El Niño and the declining oil prices. And while the financial system was hit, this country managed to avoid a banking crisis. First, because the financial system was on better footing and, second, because the financial authorities in Peru implemented corrective actions soon enough and conducted bank resolution as they had better banking legislation.

A true independent central bank and bank supervisory function are two foundational pillars that can help the banking system withstand shocks.

Jácome was the first board president to lead an independent central bank in Ecuador, as established by a new constitution in 1998, but the bank struggled as the president of the republic, Jamil Mahuad, under political pressure, repeatedly challenged its authority over monetary policy. The newly arrived board first clashed with the executive when it tried to appoint a general manager for the bank and the president of the republic rejected its choice for the post. The board relented and nominated a candidate the members knew would be approved.

In retrospect, Jácome says this initial concession might have emboldened President Mahuad, who continued to challenge the bank's independence. He explained,

While in theory we were running a politically independent central bank, the relationship with the government was difficult. It was so since the onset, and it only

got worse over time. In fact, the president of the republic at that time, on more than one occasion, stated that he respected the independence of the central bank established in the law, but he didn't like it. He was of the view that an elected president should be in charge, or should be responsible, of both fiscal and monetary policy. He was against the consensus forged globally at that time about having independent central banks. So, the relationship with the government became very difficult.

Roughly three months later, Jácome and the board had another disagreement with President Mahuad over an international stabilization loan meant to support Ecuador's balance of payments. The president had demanded that the central bank appropriate the loan for fiscal expenditure purposes, said Jácome, a condition he refused. Eventually, the government passed legislation allowing it to set interest rates; at this point, Jácome and four of the five members of the board resigned.

Central bank independence is a key factor to economic stability, said Jácome. He noted how countries like Argentina and Venezuela, which have weak central banks with little autonomy, continue to struggle economically. Meanwhile, Peru—which has been in turmoil for a decade, including recent civil unrest and the ouster of a sitting president—has maintained some economic stability throughout the political storm. That country has an independent central bank, fiscal policy governed by law, and a very independent banking supervision authority.

Jácome pointed out that the Ecuadorian bank supervisor at the time was not an independent institution, another key weakness in the country's banking system:

While the government and Congress appointed the banking authority, bankers often had a say in selecting this name. As a result, bankers had influence on banking regulation and supervision. As for the conduct of fiscal policy, it was a government responsibility, as alluded to before.

He went on to say:

Ideally, we should have had a better financial sector law that included strong financial supervision and regulation as well as provisions to handle banking crises. As for fiscal policy, it would have been better to have political stability and governments [that were] more fiscally responsible.

Jácome concluded,

Not only in Ecuador, but everywhere: Central bank independence works. There is abundant empirical literature supporting its benefits. Having said that, I believe central bank independence works provided politicians accept it and respect it in practice. It is not enough to confer legal independence to the central bank.

Dated: June 2025

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